

Formula Sheet for Chapter 10

1	Weighted Average Cost of Capital (WACC) $WACC = \omega_d \cdot r_d(1 - T) + \omega_p \cdot r_p + \omega_e \cdot r_e$ where: • $\omega_d, \omega_p, \omega_e$ = weights of debt, preferred stock, and equity • r_d, r_p, r_e = costs of debt before tax, preferred stock, and equity • T = marginal tax rate
2	after-tax cost of debt = $r_d(1 - T)$ $r_d = YTM \text{ or } Bank \text{ APR}$
3	cost of preferred stock: $r_p = \frac{D_p}{P_p}$
4	Cost of Retained Earnings (3 Approaches): a. CAPM Approach $r_s = r_f + \beta_i \times (r_m - r_f)$ b. Dividend Discount Model (DDM) $r_s = \frac{D_1}{p_0} + g$ c. Bond-Yield Plus Risk Premium $r_s = r_d + RP$ RP = judgmental risk premium, typically 3–5% ➔ 4%
5	Cost of New Common Stock $r_e = \frac{D_1}{p_0(1 - F)} + g$ Where: • F = flotation cost as a decimal